

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

SEAFair USA LLC, *Complainant*

v.

STERLING CONTAINER LINE LTD. AND ATLANTIC
FORWARDING LTD., *Respondents*.

DOCKET NO. 22-34

Served: October 10, 2023

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

ORDER ON RESPONDENT'S MOTION FOR LEAVE TO FILE SUR-REPLY

On September 22, 2023, Respondents Sterling Container Line Ltd. And Atlantic Forwarding Ltd. filed a motion seeking leave to file a sur-reply. In support of their request, Respondents assert that Complainant's Reply includes evidence not previously filed (Reply Brief Appendix 1 and Reply Brief Appendix 2), which warrants an opportunity to respond. Complainant argues that the new evidence is submitted in response to Respondents' arguments, that it was exchanged during discovery and is therefore "on the record," and that Respondents' have "already used their motion as a sur-reply." Respondents also take issue with the form of Reply Brief Appendix 2. For the reasons set forth below, Respondents' motion will be granted.

The January 18, 2023 Scheduling Order directed the parties to file three briefs: Complainant's brief (with proposed findings of fact and appendix), Respondent's opposition (with responses to proposed findings of fact, proposed findings of fact, and appendix), and Complainant's reply brief (with responses to Respondent's proposed findings of fact). While Federal district courts note that sur-replies are generally disfavored, *e.g. Kifafi v. Hilton Hotels Retirement Plan*, 736 F. Supp. 2d 64, 69 (D.D.C. 2010), they are routinely permitted in cases where a party is unable to contest matters presented to the court for the first time in the last scheduled pleading. *Ben-Kotel v. Howard Univ.*, 319 F.3d 532, 536 (D.C. Cir. 2003). In deciding whether to allow a sur-reply, a court should consider whether the reply actually raises arguments or issues for the first time, whether the proposed sur-reply would aid resolution, and whether prejudice would result from leave being granted. *Glass v. Lahood*, 786 F. Supp. 2d 189, 230-31 (D.D.C. 2011). A sur-reply should not be used as a means of getting the last word or endlessly prolonging briefing – where the arguments raised in a reply fall within the scope of the matters raised in the opposition, and even where the reply mischaracterizes factual and legal arguments in the opposition, a sur-reply is not normally appropriate because the court is capable of ascertaining the merits of the parties' positions on its own. *Crummey v. Soc. Sec. Admin.*, 794 F. Supp. 2d 46, 63 (D.D.C. 2011).

But in a case such as this one, where Complainant has introduced new evidence in its reply brief, it is appropriate to allow Respondent the opportunity to reply to that new evidence. Complainant's argument that the evidence was produced during discovery, and therefore "on the record," mischaracterizes "the record." The record consists of the evidence filed with the Commission – the presiding officer may not consider evidence the parties have exchanged amongst themselves but not filed.¹ As to Complainant's argument that its reply is limited to issues raised in the opposition, while this may be the case, the relevant consideration is that its reply is not limited to the evidence already in the record – it is the new evidence that Respondents should have an opportunity to respond to. Finally, I do not agree that Respondents have "used their motion as a sur-reply." Naturally, a motion for leave to file sur-reply will have to preview the contents of the sur-reply in order to justify the motion and parties often file a lodged sur-reply with the motion. There is no basis to conclude that Respondents have impermissibly filed a sur-reply disguised as a motion for leave to file. Respondents' sur-reply must be limited to addressing the newly filed evidence in the reply.

The January 18, 2023 Scheduling Order directs the parties to produce the appendices as one PDF document, if practicable. It also directs the parties to number the pages of each appendix sequentially, and to provide a table of contents. In its Reply Brief Appendix 2, Complainant has filed native-format Outlook files without sequentially numbered pages, and with filenames in the format "message-59-984215" and "message-59-1072212." A search of the Reply brief does not return any results for citations in this format, so it is unclear how Complainant relies on these documents, how the parties are supposed to cite to them, or how the presiding officer is supposed to make sense of this mass of files.

It is not generally impracticable to convert Outlook files to PDF files – the functionality to convert one or multiple messages or folders of messages to a PDF document is present within the Outlook program itself, is a feature of any document-review platform, and could also be accomplished simply by dragging and dropping the files or folders into Acrobat's (or other PDF editor's) Create PDF feature. Without further explanation, I will not accept Complainant's argument that this process was "impracticable" in this case. In any event, when a party is unable to comply with an order, the correct approach is to file a motion seeking to modify the order or be relieved from the order's requirements – not to simply disregard the order and leave the presiding officer to sort it out. Reply Brief Appendix 2 does not comply with the Scheduling Order, no modification to the order was requested, and these documents will be stricken from the record. If Complainant wants to include the contents of Reply Brief Appendix 2 in the record, Complainant must refile the documents as one PDF file (or multiple files if a single file is too large) with sequentially numbered pages no later than October 17, 2023. If for some reason Complainant is not able to comply with this order, Complainant must contact judges@fmc.gov and I will set up a time to confer with the parties and establish an alternative acceptable means of filing.

¹ Commission Rule 217: Record of Decision. The transcript of testimony and exhibits, together with all filings and motions filed in the proceeding, will constitute the exclusive record for decision.

For the reasons identified above, it is hereby **ORDERED** that Respondent's motion for leave to file a sur-reply is **GRANTED**. The parties must follow this schedule:

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| October 17, 2023 | Complainant must resubmit its Reply Brief Appendix 2 in conformity with the Scheduling Order. Failure to do so will result in Reply Brief Appendix 2 being stricken from the record. |
| October 20, 2023 | Respondents' sur-reply due. The sur-reply may not exceed 20 pages and must be limited to addressing the new evidence filed by Complainant in connection with its reply brief. |

Alex Michael
Chintella

Digitally signed by Alex Michael Chintella
Date: 2023.10.10 13:38:33 -04'00'

Alex M. Chintella
Administrative Law Judge